PUBLIC WORKS DEPARTMENT

March 9, 2026

To: Maricar Dupaya, Budget Manager
David White, Deputy City Manager

From: Wahid Amiri, Interim Director of Public Works

Subject: FY2027 & FY2028 Public Works Proposed Budget Reductions

Summary

As part of the City's broader General Fund structural deficit balancing strategy, the Department of Public Works is preparing for a combined $6.6 million reduction in personnel expenditures across five operational divisions for the FY2027 & FY2028 biennial budget. With personnel costs accounting for approximately 68 percent of the budget, these reductions necessitate the elimination of 15 full-time positions.

The Department's proposed budget includes reductions in personnel expenditures of $1 million in the General Fund (Fund 011) and $2.4 million in Capital Outlay (Fund 501). An additional $3.2 million in personnel cost reductions will come from Public Works' Enterprise and Special Revenue Funds, including the Parking Meter (Fund 631), Off-Street (Fund 627), 1947 Center Street (Fund 636) and Citywide Facilities Management (Fund 673) Funds, which are individually experiencing structural deficits.

Other balancing measures include the elimination of temporary staffing positions, reduction in security contract services, and the deferral of capital outlay expenditures for meter replacements. Collectively, these reductions will directly impact service delivery and infrastructure longevity.

The Department has also identified revenue enhancement strategies. $1.9 million in new meter revenue opportunities for Fund 631 have been identified through goBerkeley's approved rate increases, and a further expansion of the current metered parking program. Increasing rate and monthly permits across the City's three garages beginning on April 1, 2026, will yield $300,000 of additional revenue for Fund 627. Council will also be asked to consider increasing Special Event fees to meet cost recovery for the Department's services.

Priority Guidelines: FY 27-28 Budget Realignment

The elimination of 15 full-time positions represents a 5 percent reduction in total Department workforce. However, the personnel reductions identified above disproportionately impact positions that are associated with Street Maintenance, Facilities Maintenance, Parking Meter Maintenance, and CIP Engineering. Specific work groups in these Divisions will experience 25 to 30 percent workforce reductions, which will diminish maintenance crew sizes and technical engineering project management resources that support large capital improvement projects.

Next Steps

While the Department is committed to fiscal responsibility, a $6.6M reduction will fundamentally alter the "service level" community members expect. To mitigate these impacts, Public Works will prioritize the Tier 1 services addressing health and safety projects while potentially suspending lower-priority aesthetic and elective maintenance. Communicating this strategy effectively to the public will be necessary to manage expectations.

Attachments:

A. PW Risk Based Budget Prioritization Framework
B. Anticipated PW Levels of Service Impact Detail

cc: Jeff Glover, Admin & Fiscal Manager

ATTACHMENT A – RISK BASED PRIORITIZATION FRAMEWORK

To manage the reduction in employee services while minimizing risk to the City and community members, the department recommends adopting a tiered Risk-Based Prioritization Framework. This strategy ensures that critical operations are maintained, even with a reduced workforce.

Tier 1 Services: High Priority Department Operations (Non-Negotiable)
These services are essential for public life-safety systems, legal compliance, and preventing catastrophic infrastructure failure:

- Emergency Response: 24/7 capacity for storm response, downed trees in the right-of-way, and immediate hazard mitigation (e.g., sinkholes or structural collapses).
- Regulatory & Environmental Compliance: Mandated inspections for San Francisco Bay water quality (trash capture) and ADA-mandated curb ramp installations attached to active paving projects.
- Critical Life-Safety Infrastructure: Maintenance of traffic signals at high-volume intersections and structural integrity of public buildings with high occupancy (e.g., City Hall, Public Safety Building).
- Essential Sanitation: Core trash collection and basic maintenance of public health facilities to prevent and address disease vectors.

Tier 2 Services: Medium Priority Department Operations (Modified Service Levels)
Services that will be maintained but with extended response times or reduced frequency:

- Proactive Facility Maintenance: Prioritizing HVAC and electrical systems over aesthetic upgrades like painting or floor refinishing.
- Citizen Request Fulfillment (311): Response times for non-emergency issues (e.g., standard pothole repair, graffiti on secondary corridors) will be extended from 72 hours to 10-14 business days.

Tier 3 Services: Low Priority Department Operations (Services for Suspension/Deferral)
Aesthetic or elective services that may be suspended until fiscal stability is restored:

- Elective Facility Improvements: Office reconfigurations, non-essential lighting upgrades, and furniture replacements.
- Special Event Support: Reduction in department labor provided for non-city-sponsored community events or parades.
- Aggressive Clean City Patrols: Transitioning from proactive "scouting" to a strictly reactive, report-based collection model.

To carry out this safety-focused and tiered response, Public Works will implement a "Vacancy Management Plan," where positions in Tier 3 services are frozen to protect headcount in Tier 1 "Life-Safety" roles. Staff will continue to be broadly cross-trained between Sewer Maintenance, Street Maintenance, and Clean Cities programs to provide a more flexible, "swing-force" labor pool.

ATTACHMENT B – ANTICIPATED PW LEVEL OF SERVICE IMPACTS

1. Capital Improvement Program (CIP) & Facilities: The reduction in employee services within CIP and Facilities will primarily impact the City's ability to manage and execute major infrastructure projects.
    a. Project Deferrals: With fewer engineering project managers and inspectors, the timeline for the $64.9M (FY 27) and $66.1M (FY 28) planned capital projects will likely shift. Staff are completing a project prioritization analysis to determine recommendations based on staffing projections reflected in this strategy.
    b. Deferred Maintenance: Facilities maintenance will transition to a "reactive-only" model. While responses to many aesthetic requests may be eliminated, essential HVAC and electrical upgrades (e.g., at 1947 Center Street) may also be delayed, leading to higher long-term repair costs.
    c. Asset Deterioration: Prolonged deferral of building maintenance typically results in a 4x to 10x increase in cost when repairs eventually become unavoidable.
2. Street Maintenance & Pavement Condition: Street maintenance is highly sensitive to labor availability. A reduction in workforce capacity will have a measurable impact on the Pavement Condition Index (PCI).
    a. Pothole Response Times: Expect an increase in "time-to-repair" for citizen-reported potholes and localized failures.
    b. Loss of Preventative Care: Labor-intensive slurry seals and crack sealing, which extend road life, will be prioritized lower than emergency repairs.
3. Parking & Traffic Services: Employee service cuts in the Parking division will impact both revenue generation and public safety.
    a. Maintenance of Assets: Slower repair times for parking meters and pay stations could lead to "out-of-service" revenue losses.
    b. Up to $1.5 million in Parking Meter Capital Improvements have been deferred. The result is that meters requiring replacement at the end of useful life will permanently fail over time.
4. Clean Cities & Sanitation: The "Clean Cities" program is one of the most visible programs in the department. Reductions here will immediately affect the aesthetic and sanitary condition of the city.
    a. Litter & Illegal Dumping: Reduced staffing for "Clean Teams" will result in longer response times for illegal dumping reports via 311.
    b. Graffiti Abatement: Reduction in the frequency of graffiti removal on public property and street furniture.